

4. Market structures

Topic	Students should be able to:
4.1 Perfect competition	Explain: • The characteristics of perfect competition Explain, with the aid of a diagram: • Short run perfect competition; supernormal profit/loss • Long run perfect competition: normal profits • Individual firm in perfect competition as a price taker • Equilibrium price and output for a firm in perfect competition • Allocative efficiency in short run and long run perfect competition • Productive efficiency in long run perfect competition